

Proc., § 425.16(c) [“prevailing defendant on a special motion to strike shall be entitled to recover that defendant’s attorney’s fees and costs”).] The Court finds the requested amount is reasonable and awards fees and costs of \$13,334.15 to Defendant Walker. Plaintiffs are ordered to pay the awarded amount no later than 30 days from the date of this order.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2600422	MARTINEZ vs BUCKEYE RETIREMENT CO., LLC	DEMURRER ON COMPLAINT

Tentative Ruling:

Demurrer is moot, based upon Court’s ruling on ANTI-SLAPP MOTION (SPECIAL MOTION TO STRIKE).

5.

CASE #	CASE NAME	HEARING NAME
CVRI2601403	MORGAN vs CUSHMAN & WAKEFIELD	MOTION TO COMPEL ARBITRATION

Tentative Ruling:

Summary of Ruling: The Court grants the motion and stays the matter pending arbitration. The Court overrules the evidentiary objections.

Factual / Procedural Context:

Tiyiesha Morgan (“Plaintiff”) was employed by Cushman & Wakefield (“Defendant”) as an assistant property manager. She contends that the apartment complex where she worked was kept in an unsafe condition because there was a lack of security, which resulted in unhoused individuals breaking into apartment units. She asserts that these break-ins and concern for her safety caused her stress, which resulted in her needing to take a leave of absence due to her mental health. After being out on medical leave for approximately seven months, Plaintiff received a letter from Defendant indicating that Plaintiff’s leave appeared indefinite. It demanded that Plaintiff provide more documentation from her healthcare provider within a week or her employment would be terminated. Plaintiff complied with the request for additional information and had her physician fill out a form sent by Defendant. Even though Plaintiff provided the requested information, she was sent a letter dated October 3, 2024, indicating that her employment has been terminated due to her indefinite leave.

The complaint asserts the following causes of action: (1) discrimination on the basis of disability, (2) failure to engage in a good-faith interactive process, (3) failure to reasonably accommodate a known disability and retaliation for requesting a reasonable accommodation, (4) retaliation, (5) failure to prevent discrimination and/or retaliation, (6)

retaliation in violation of Labor Code § 1102.5, (7) retaliation in violation of Labor code § 6310, (8) wrongful termination in violation of public policy, and (9) negligent hiring, retention, and/or supervision.

Defendant brings this motion seeking to compel this matter to arbitration and dismissing or staying this matter pending the completion of arbitration. It asserts that Plaintiff signed a binding arbitration agreement, which covers the disputes in her complaint. It argues that the Federal Arbitration Act (“FAA”) applies. It contends that the arbitration agreement is not unconscionable.

Plaintiff argues that the arbitration agreement is not signed. As such, Defendant’s motion fails. She asserts that the evidence provided does not establish that she electronically signed any agreement. She also argues that the agreement is unconscionable.

In reply, Defendant reasserts the arguments set forth in its moving papers.

Analysis:

The court must grant a petition to compel arbitration unless it finds either: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP §1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.)

The petition to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. R. Ct. 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–219.) “[U]nder this rule, unless there is a dispute over authenticity, it is sufficient for a party moving to compel arbitration to recite the terms of the governing provision.” (*Sprunk v. Prisma LLC* (2017) 14 Cal.App.5th 785, 793.) A petitioner is not required to authenticate the respondent’s signature on an arbitration agreement as a preliminary matter in the moving papers and is only required to do so if the signature is challenged. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846.)

Signature: When a party moving to compel arbitration provides a copy of the alleged arbitration agreement that it purports to have the plaintiff’s signature, it meets its initial burden. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) While Plaintiff argues that this burden has not been met by Defendant because the arbitration agreement is not signed, this argument lacks merit. The arbitration agreement contains two parts. The first part starts by stating “Dear Applicant” and contains a signature section. (Exhibit A to Declaration of Erinn Cassidy.) The second portion is titled “Issue Resolution.” (*Id.*) This portion of the agreement has a signature section, which is electronically signed. Plaintiff attempts to treat the first portion of the agreement as the

only portion that contains an arbitration agreement. However, this is incorrect. The second portion is also an arbitration agreement. It clearly states that “Company and You agree to arbitrate all Covered Claims”, which includes “any and all disputes, controversies, or claims between Company and You that arise out of or relate in any way to an employment relationship or potential relationship between You and the Company . . .” (Exhibit A, Issue Resolution Rules, Rule 2.) “Company” is defined as Defendant and “You” is defined as the employee or candidate. The second part of the agreement appears to cover the claims at issue in Plaintiff’s complaint and contains an electronic signature. Due to this, Defendant has met its initial burden.

Plaintiff contends that she does not recall signing the agreement. (Declaration Tiyesha Morgan, ¶ 5) This is sufficient to meet Plaintiff’s burden when an electronic signature is involved and requires Defendant to prove by a preponderance of the evidence that the electronic signature belonged to Plaintiff. (*Ruiz, supra*, 232 Cal.App.4th at 846; *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 167.) Defendant argues that more than Plaintiff’s failure to recall is needed to meet her burden of proof. However, binding California authority indicates that this evidence is sufficient when an electronic signature is involved.

Under Civil Code § 1633.9(a), “An electronic record or electronic signature is attributable to a person if it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” “[A] party may establish that the electronic signature was ‘the act of the person’ by presenting evidence that a unique login and password known only to that person was required to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 545.) In *Ruiz, supra* 232 Cal.App.4th at 843-846, the court found that a generic assertion alone that the electronic signature belonged to the defendant was not sufficient.

In the moving documents, Defendant provides a declaration from Erinn Cassidy. She is the Executive Managing Director for Defendant since July 2023 and for nearly seven years before this was Defendant’s Vice-President of Human Resources. (Declaration of Erinn Cassidy, ¶ 2.) She states that Defendant uses WorkDay applicant tracing system, which requires each applicant, including Plaintiff, to create a unique username and password to access Defendant’s electronic application packet, which includes the arbitration agreement. (*Id.* at ¶ 6.) To complete the job application, Plaintiff was required to review and electronically sign the arbitration agreement through WorkDay, which automatically places the e-signature on the last page of the arbitration agreement. (*Ibid.*) She indicates that the arbitration agreement cannot be altered by anyone at Defendant without the job applicant or employee’s knowledge or permission. (*Ibid.*) This is sufficient to meet Defendant’s burden

Unconscionability: Plaintiffs contend that this motion should be denied because the agreement is unconscionable. “Unconscionable arbitration agreements are not enforceable.” (*Wherry v. Award, Inc.* (2011) 192 Cal.App.4th 1242, 1245.) “To be voided

on this ground, the agreement must be both procedurally and substantively unconscionable.” (*Ibid.*) “But they need not be present to the same degree.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*)). Rather, the court invokes a “sliding scale” to determine unconscionability: “The more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Ibid.*) “The burden of proving unconscionability rests upon the party asserting it.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) Unconscionability is a question of law. (*Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1562.)

Procedural Unconscionability: Procedural unconscionability may be proven by showing of oppression which is present when a party is given no meaningful opportunity to negotiate the terms of the contract which is presented on a take-it-or-leave-it basis. (*Wherry v. Award, Inc., supra*, 192 Cal.App.4th at 1246.) Plaintiff contends that the arbitration agreement is procedurally unconscionable because it is a contract of adhesion. A contract of adhesion is a standardized contract that relegates the individual with less bargaining strength to either accept the terms as is, with no opportunity to negotiate or to reject the agreement. (*Armendariz, supra*, 24 Cal.4th at 113.) Defendant asserts this argument fails because the agreement allows an employee to withdrawal from the agreement within three days of signing it. However, to do so, the individual would also have to withdrawal their application for employment. As such, an employee cannot truly opt out of the agreement without also leaving their employment. Due to this, it appears to be a take-it-or-leave-it agreement and thus there is some degree of procedural unconscionability.

Plaintiff argues that the agreement is also procedurally unconscionable because Defendant did not explain the agreement to her. However, she cites to no authority to support this assertion. I know of no authority that requires such an explanation, except in cases where a party cannot read English. (*Caballero v. Premier Care Simi Valley, LLC* (2021) 69 Cal.App.5th 512, 519.) Plaintiff does not indicate that she cannot read English. As such, this argument is not persuasive.

She asserts that this agreement is also procedurally unconscionable because AAA rules, which the agreement indicates applies, have not been provided. However, Plaintiff does not challenge any of the terms in the applicable AAA rules. The California Supreme Court in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1246 noted that the failure to provide the arbitration rules does not provide “a greater degree of procedural unconscionability” because the unconscionability claim must depend on the arbitration rule in question. In other words, the plaintiff must demonstrate that there is something in the rules that he was unaware of that makes them unconscionable. (*Id.*) Plaintiff does not articulate any issue with the AAA rules. As such, this argument fails.

Substantively Unconscionability: Plaintiffs argue that the agreement is also substantively unconscionable. “Substantive unconscionability addresses the fairness of the terms in dispute.” *Wherry v. Award, Inc., supra*, 192 Cal.App.4th at 1248. Under the *Armendariz* standard, at a minimum, the following are requirements of a lawful arbitration contract: (1) a neutral arbitrator; (2) adequate discovery; (3) all types of relief

otherwise available in court; (4) employer must pay arbitrator's fees and all costs unique to arbitration. *Armendariz, supra*, 24 Cal.4th at 102, 118. Plaintiff argues that the agreement is substantively unconscionable for a number of reasons.

Plaintiff argues that rule 7 is substantively unconscionable because it places extreme limitations on the amount of discovery that can be done. The arbitration agreement does place a limitation on discovery. However, it also allows for additional discovery to be sought by either party from the arbitrator. (Exhibit A, Rule. 7.c.) Due to this, there appears to be a way for the parties to obtain adequate discovery, and this provision is not substantively unconscionable. (See *Ramirez v. Charter Communicates, Inc.* (2024) 16 Cal.5th 478, 506.)

She argues that rule 9(a) makes the agreement substantively unconscionable. This provision states that a failure to appear for the arbitration hearing shall result in a waiver by that party of their claims or defenses and the arbitrator shall have the authority to issue an Order of Dismissal with Prejudice. Plaintiff argues that this provision is one sided. However, it applies to both sides. She points to no authority that this provision is improper. As such, this argument fails.

She also argues that rule 9(h) is substantively unconscionable because it limits Plaintiff's ability to contact witnesses and learn how Defendant has resolved similar cases. A confidentiality provision that covers all aspects of arbitration prevents a party from meaningfully engaging in informal discovery or contacting witnesses without violating the confidentiality clause is unconscionable. (*Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1065.) The rule at issue provides:

Unless prohibited by applicable law, all aspects of an arbitration pursuant to these Issue Resolution Rules, including the hearing and record of the proceeding, shall be confidential and shall not be open to the public, except (i) to the extent both Parties agree otherwise in writing, (ii) as may be appropriate in any subsequent proceeding between the parties, or (iii) as may otherwise be appropriate in response to a governmental agency or legal process. All settlement negotiations, mediations, and the results thereof shall be confidential.

Based on the language in subsection (iii), it appears that discovery conducted in arbitration would fit within this exception (it's part of a legal proceeding) and this rule would not be barred by substantive unconscionability.

Additionally, the agreement does include a severance clause. A court has discretion to sever an unconscionable provision, unless the agreement is permeated by unconscionability. (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 122.) For example, severance is improper where the agreement is completely one-sided in requiring the employee and not the employer to arbitrate. (*O'Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 279.) Severance is improper where the agreement is so unconscionable that severing provisions could not remove the unconscionable taint. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1288.) If the unconscionable provision is collateral

to the main purpose of the agreement, they may be severed. (*Armendariz, supra*, 24 Cal.4th at 124.) The agreement does not appear to be permeated by unconscionability. The problematic provision addressed above appears collateral to the main purpose of the agreement. Severing this provision would be limited in nature. As such, if the Court did not believe that subsections (i) or (iii) were applicable, it could sever this provision.

Since substantive unconscionability has not been established, the motion is granted.

Objections: Plaintiff objects to Erinn Cassidy's declaration. The objections are based on lack of knowledge. However, Ms. Cassidy sets forth her current position in the company and her former position as Vice-President of human resources and her understanding of how the onboard process works. This declaration is sufficient to support her knowledge of said system. As such, these objections are overruled.